

Chroma ATE

Capital commitment and capacity expansion validate demand visibility

Maintain Rating: BUY | PO: 3,050 TWD | Price: 1,965 TWD

Kaohsiung new fab expansion for strong SLT demand

Chroma announced on Aug 25 evening that it plans to invest NT\$4bn in Kaohsiung for land lease and fab construction from 4Q26 for mass production and contribution in the next 1-2 years. The facility should be focusing on SLT similar to its existing clean room in Kaohsiung for SLT and FT handler production along with burn-in oven development as it is close to its local OSAT partners' operation and for efficient equipment export to the overseas testing service providers in Korea (Amkor), Singapore (ASE, STATS) and Malaysia (AMD/Tongfu). In contrast to the concerns that its SLT outlook could moderate due to competition, the capacity announcement supports our view that it will continue to grow at 63% CAGR in '26-28 (vs. +74% in '23-25), still representing 15-20% of its total sales, on an expanding application base including Nvidia and AMD's GPUs and CPUs, Google's TPUs, Frozen ASIC and CPUs and Broadcom and Marvell's networking switches.

GDR issuance flexibility for CPO and burn-in collaboration

Separately, Chroma's board approved the GDR issuance of up to 13.6mn shares (~3% shareholder interest dilution) which is still subject to the shareholders' approval on Oct 20th. We estimate the company through the GDR issuance could grow its working capital from ~US\$270mn to ~US\$1.2bn, supporting its collaboration on CPO testing solution with its US and Israel customers along with its burn-in oven reliability lab. While the sales from CPO equipment could be limited at 2% in '26, it could ramp to 10-15% of its consolidated sales in '27 as the industry gets the capacity ready for commercialization in '28. The HPC burn in portfolio provides an optionality for further business diversification.

Undershoot from unfounded concerns provides good entry

We keep our Buy rating on Chroma with NT\$3,050 PO based on 38x 2027 P/E and maintain our '26/'27 EPS estimate at NT\$46.73/80.05. While the near term sentiment is dragged by the investor concerns on CPO and HVDC (800V) upgrade push out, we would note the timeframe is largely consistent with (see report) [our view](#) earlier this year and see the current valuation compelling at 25x '27 P/E well backed by sales/EPS +59%/+75% CAGR.

Estimates (Dec) (NT\$)	2024A	2025A	2026E	2027E	2028E
EPS	12.49	27.70	46.73	80.05	100.11
EPS Change (YoY)	32.2%	121.7%	68.7%	71.3%	25.1%
Dividend / Share	7.00	10.00	20.00	33.00	33.00
Free Cash Flow / Share	6.60	7.01	19.61	37.48	65.86
Valuation (Dec)					
P/E	157.29x	70.93x	42.05x	24.55x	19.63x
Dividend Yield	0.356%	0.509%	1.02%	1.68%	1.68%
EV / EBITDA*	132.80x	82.78x	36.17x	20.43x	16.19x
Free Cash Flow Yield*	0.333%	0.354%	0.989%	1.89%	3.32%

* For full definitions of *IQmethod*SM measures, see page 6.

26 August 2026

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Stock Data

Price	1,965 TWD
Price Objective	3,050 TWD
Date Established	24-Jun-2026
Investment Opinion	C-1-7
52-Week Range	504.00 TWD-2,795 TWD
Mrkt Val / Shares Out (mn)	26,195 USD / 425.2
Market Value (mn)	835,608 TWD
Average Daily Value (mn)	188.07 USD
Free Float	83.0%
BofA Ticker / Exchange	CRMJF / TAI
Bloomberg / Reuters	2360 TT / 2360.TW
ROE (2026E)	0%
Net Dbt to Eqty (Dec-2025A)	-15.3%

Glossary on page 3

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Refer to important disclosures on page 7 to 9. Analyst Certification on page 4. Price

iQprofileSM Chroma ATE

Key Income Statement Data (Dec)

(NT\$ Millions)

	2024A	2025A	2026E	2027E	2028E
Sales	21,604	28,311	55,617	86,809	107,071
Gross Profit	12,746	17,425	33,833	54,207	67,204
Sell General & Admin Expense	(5,065)	(5,671)	(8,057)	(10,104)	(11,865)
Operating Profit	5,482	9,197	22,055	39,646	50,197
Net Interest & Other Income	1,226	4,720	2,892	2,982	3,191
Associates	NA	NA	NA	NA	NA
Pretax Income	6,709	13,918	24,947	42,628	53,388
Tax (expense) / Benefit	(1,308)	(1,992)	(4,894)	(8,360)	(10,535)
Net Income (Adjusted)	NA	NA	NA	NA	NA
Average Fully Diluted Shares Outstanding	421	422	422	422	422

Key Cash Flow Statement Data

Net Income	5,264	11,692	19,695	33,742	42,280
Depreciation & Amortization	775	841	916	1,023	1,143
Change in Working Capital	(1,020)	(4,306)	(7,402)	(10,569)	(5,902)
Deferred Taxation Charge	NA	NA	NA	NA	NA
Other Adjustments, Net	(235)	(2,969)	(613)	(2,320)	(2,265)
Cash Flow from Operations	4,784	5,258	12,597	21,876	35,255
Capital Expenditure	(2,005)	(2,301)	(4,333)	(6,077)	(7,495)
(Acquisition) / Disposal of Investments	(1,067)	(186)	(1,865)	0	0
Other Cash Inflow / (Outflow)	1,181	3,915	2,969	2,846	2,837
Cash Flow from Investing	(1,891)	1,428	(3,229)	(3,231)	(4,658)
Shares Issue / (Repurchase)	0	0	0	0	0
Cost of Dividends Paid	(2,807)	(3,828)	(8,184)	(13,787)	(23,619)
Cash Flow from Financing	(2,997)	(4,548)	(8,208)	(13,787)	(23,619)
Free Cash Flow	2,779	2,957	8,264	15,799	27,761
Net Debt	(1,515)	(4,997)	(7,797)	(12,656)	(19,634)
Change in Net Debt	433	(2,331)	(1,146)	(4,858)	(6,979)

Key Balance Sheet Data

Property, Plant & Equipment	6,956	7,232	0	0	0
Other Non-Current Assets	12,927	13,792	24,679	29,733	36,085
Trade Receivables	6,070	8,925	14,435	22,172	26,140
Cash & Equivalents	5,040	8,314	11,152	16,010	22,989
Other Current Assets	6,315	8,886	13,731	19,864	23,600
Total Assets	37,308	47,150	63,997	87,779	108,814
Long-Term Debt	2,108	3,304	3,050	3,050	3,050
Other Non-Current Liabilities	1,515	2,125	2,082	2,082	2,082
Short-Term Debt	1,417	14	305	305	305
Other Current Liabilities	6,817	9,145	22,112	25,414	27,216
Total Liabilities	11,858	14,587	27,550	30,851	32,653
Total Equity	25,450	32,563	36,447	56,928	76,161
Total Equity & Liabilities	37,308	47,150	63,997	87,779	108,814

iQmethodSM - Bus Performance*

Return On Capital Employed	15.6%	23.2%	44.6%	61.5%	56.5%
Return On Equity	NA	NA	NA	NA	NA
Operating Margin	25.4%	32.5%	39.7%	45.7%	46.9%
EBITDA Margin	29.0%	35.5%	41.3%	46.8%	47.9%

iQmethodSM - Quality of Earnings*

Cash Realization Ratio	NA	NA	NA	NA	NA
Asset Replacement Ratio	2.7x	3.0x	5.1x	6.4x	7.0x
Tax Rate (Reported)	19.5%	14.3%	19.6%	19.6%	19.7%
Net Debt-to-Equity Ratio	-6.0%	-15.3%	-21.4%	-22.2%	-25.8%
Interest Cover	NM	NM	NM	NM	NM

Key Metrics

* For full definitions of iQmethodSM measures, see page 6.

Company Sector

Semiconductor Capital Equipment

Company Description

Chroma is a world leading provider of automated test equipment (ATE) and precision measurement solutions with 4,300+ system installed globally. Founded in 1984, the company has built a one of a kind diversified technology portfolio spanning semiconductor testers, power electronics testers, battery formation systems, photonics test instruments.

Investment Rationale

We have a Buy rating on Chroma, in view of its strong technology leadership in the high power testing and complex semiconductor testing equipment. It has a solid position working with Nvidia for more than a decade and is seeing growing traction from AMD and hyperscalers' ASIC for system level testing and metrology tools. Longer term, the company could further expand its addressable market leveraging the technology in its existing product portfolio for co-packaged optics, panel level packaging.

Stock Data

Price to Book Value

23.6x



Focus charts and tables

Exhibit 1: Chroma's revenue by segment

AT&S and semiconductor segments will lead the sales growth

Chroma's revenue (NT\$m)	2022	2023	2024	2025	2026	2027
Traditional power testing	\$5,515	\$6,950	\$5,718	\$5,814	\$10,875	\$14,969
Data center related (including infrastructure)	\$1,537	\$1,227	\$1,108	\$4,732	\$12,075	\$18,296
Total AT&S sales	\$7,052	\$8,177	\$6,826	\$10,546	\$22,950	\$33,266
Semiconductor	2022	2023	2024	2025	2026	2027
Legacy semiconductor testing	\$2,663	\$1,554	\$3,903	\$3,398	\$3,451	\$2,026
AI SLT	\$1,010	\$1,020	\$2,268	\$3,080	\$6,100	\$12,165
Metrology for advanced back-end	\$0	\$0	\$0	\$1,870	\$4,800	\$5,000
Photonics	\$850	\$382	\$802	\$1,411	\$4,300	\$11,466
Others (panel level, CPO, etc)	\$0	\$0	\$0	\$0	\$0	\$0
Total semiconductor sales	\$4,523	\$2,956	\$6,973	\$9,759	\$18,651	\$30,658
Parent company sales	\$11,575	\$11,133	\$13,799	\$20,305	\$41,601	\$63,923
Consolidated testing equipment sales	\$20,269	\$17,787	\$20,418	\$27,166	\$54,257	\$85,170
MAS / Automation	\$830	\$659	\$873	\$884	\$1,210	\$1,458
Materials	\$635	\$0	\$0	\$0	\$0	\$0
Others	\$333	\$230	\$313	\$260	\$313	\$378
Chroma's consolidated sales (NT\$m)	\$22,067	\$18,676	\$21,604	\$28,310	\$55,781	\$87,006

Source: BofA Global Research estimates

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Exhibit 2: Terms and definitions

Glossary of abbreviations/acronyms

Term	Definition
AI	Artificial Intelligence
ASIC	Application Specific Integrated Circuit
CoWoS	Chip-on-Wafer-on-Substrate
CPU	Central Processing Unit
GM	Gross margin
GPU	Graphic Processing Unit
HPC	High-Performance Computing
IC	Integrated Circuit
OpMs	Operating margins
OSAT	Outsourced Semiconductor Assembly/Testing
TPU	Tensor Processing Unit
WMCM	Wafer-level-multi-chip-module
SLT	System level testing
CPO	Co-packaged optics
AMD	Advanced Micro Devices
HVDC	high voltage direct current
GDR	global depository receipt

Source: BofA Global Research

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Price objective basis & risk

Chroma ATE (CRMJF)

Our price objective of NT\$3,050 on Chroma is based on 38x 2027E P/E, which is at the top of the company's historical trading range of 12-39x. In our view, the valuation multiple is underpinned by

1) +70% earnings CAGR in 2025-27E supported by +75% sales CAGR growth and GMs/OpMs expanding, 2) ROE expansion to around 35% in 2025-27E, 3) net cash of around NT\$21/share, and 4) free cash flow generation of around NT\$15/share per annum across 2025-27E.

Downside risks to our price objective are:

1) weaker market demand, especially the cloud AI investment moderation, leading to slower infrastructure builds especially in China and dragging the company's revenue growth for its power testing equipment business and operating leverage
2) a more conservative investment cycle from the hyperscalers on further data center deployment due to growing capex could dampen the demand for GPU and ASIC, negatively impacting the testing equipment demand for related chipsets.
3) failure to execute on the customized equipment requested by its customers or delay of technology roadmap could lead to an order shift to its competitors.

Analyst Certification

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APR - Semiconductor Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
BUY	Alchip	ALCPF	3661 TT	Haas Liu



APR - Semiconductor Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	All Ring	XNQNF	6187 TT	Haas Liu
	AMEC	XRTOF	688012 CH	Dai Shen
	ASE Technology Holding	XSRIF	3711 TT	Haas Liu
	ASE Technology Holding -ADR	ASX	ASX US	Haas Liu
	ASMPT	ASMVF	522 HK	Simon Woo, CFA
	Aspeed	XLKMF	5274 TT	Mike Yang
	Chroma ATE	CRMJF	2360 TT	Haas Liu
	eMemory	XYLWF	3529 TT	Mike Yang
	GigaDevice	YGXIF	603986 CH	Daley Li, CFA
	Global Unichip Corp.	GBUHF	3443 TT	Haas Liu
	Grand Process Technology Corp	XZOWF	3131 TT	Haas Liu
	Hanmi Semiconductor	HNSIF	042700 KS	Simon Woo, CFA
	Hon Precision	XXPIF	7769 TT	Haas Liu
	Horizon Robotics	HRZRF	9660 HK	Daley Li, CFA
	Iluvatar CoreX	XSIBF	9903 HK	Daley Li, CFA
	Ingenic	XISCF	300223 CH	Dai Shen
	InnoScience Technology	XSCHF	2577 HK	Daley Li, CFA
	JCET Group Co Ltd	XJIEF	600584 CH	Dai Shen
	King Yuan Electronics Corp.	KYUFF	2449 TT	Haas Liu
	Kinik	KIKCF	1560 TT	Haas Liu
	Macronix International	MXICF	2337 TT	Dai Shen
	MediaTek	MDTKF	2454 TT	Haas Liu
	Montage Technology	XRDF	688008 CH	Daley Li, CFA
	MPI Corporation	XMJCF	6223 TT	Mike Yang
	Nanya Technology	NNYAF	2408 TT	Simon Woo, CFA
	NCE Power	XVFFF	605111 CH	Daley Li, CFA
	OmniVision	XXHQF	603501 CH	Dai Shen
	Phison Electronics	PISNF	8299 TT	Simon Woo, CFA
	Powerchip Semiconductor Manufacturing Co	XCHPF	6770 TT	Haas Liu
	Powertech Technology	PWOGF	6239 TT	Simon Woo, CFA
	Rockchip	XRPF	603893 CH	Daley Li, CFA
	Samsung C&T	XCDTF	028260 KS	Simon Woo, CFA
	Samsung Elec -G	SSNHZ	SMSN LI	Simon Woo, CFA
	Samsung Electronics	SSNLF	005930 KS	Simon Woo, CFA
	Samsung Electronics Preferred	SSNNF	005935 KS	Simon Woo, CFA
	Silergy Corp.	SLEGF	6415 TT	Mike Yang
	Silicon Motion	SIMO	SIMO US	Simon Woo, CFA
	SK Hynix	HXSCF	000660 KS	Simon Woo, CFA
	SK Hynix ADR	SKHY	SKHY US	Simon Woo, CFA
	SK Square	SKSQF	402340 KS	Simon Woo, CFA
	Taiwan Semiconductor Manufacturing Co.	TSM	TSM US	Haas Liu
	Taiwan Semiconductor Manufacturing Co.	TSMWF	2330 TT	Haas Liu
	Vanguard International Semiconductor Co	VGILF	5347 TT	Haas Liu
	Winbond Electronics	WBEKF	2344 TT	Dai Shen
	WinWay Technology	XWCLF	6515 TT	Mike Yang
	WT Microelectronics	XZOPF	3036 TT	Mike Yang
NEUTRAL				
	ASMedia Technology Inc.	XZSFF	5269 TT	Mike Yang
	Black Sesame Intl Holding	BSIHF	2533 HK	Daley Li, CFA
	Hangzhou Silan Microelectronics	XDFRF	600460 CH	Daley Li, CFA
	Lion Electronics	XDHFF	605358 CH	Dai Shen
	MetaX	XMEZF	688802 CH	Daley Li, CFA
	Novatek	NVKMF	3034 TT	Mike Yang
	Realtek	RLTKF	2379 TT	Mike Yang
	Shenzhen Goodix	XQPLF	603160 CH	Daley Li, CFA
	Soulbrain	XSBOF	357780 KS	Simon Woo, CFA
UNDERPERFORM				
	Crystal Clear	XPPTF	300655 CH	Dai Shen
	Faraday	FDYTF	3035 TT	Haas Liu
	GlobalWafers	XWLFF	6488 TT	Mike Yang
	Hua Hong Grace	HHUSF	1347 HK	Dai Shen
	LX Semicon	XLXSF	108320 KS	Simon Woo, CFA
	M31 Technology	XMTZF	6643 TT	Mike Yang
	Maxscend	XXMSF	300782 CH	Daley Li, CFA

APR - Semiconductor Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	Parade	PRDWF	4966 TT	Mike Yang
	United Microelectronics Corp.	XUMIF	2303 TT	Haas Liu
	United Microelectronics Corp.	UMC	UMC US	Haas Liu
	VeriSilicon	XMLZF	688521 CH	Daley Li, CFA
	Win Semiconductors	WSMIF	3105 TT	Haas Liu
	Wonik IPS	XRHQF	240810 KS	Simon Woo, CFA

iQmethodSM Measures Definitions**Business Performance**

Return On Capital Employed

Return On Equity

Operating Margin

Earnings Growth

Free Cash Flow

Numerator

NOPAT = (EBIT + Interest Income) × (1 – Tax Rate) + Goodwill Amortization

Net Income

Operating Profit

Expected 5 Year CAGR From Latest Actual

Cash Flow From Operations – Total Capex

Denominator

Total Assets – Current Liabilities + ST Debt + Accumulated Goodwill

Amortization

Shareholders' Equity

Sales

N/A

N/A

Quality of Earnings

Cash Realization Ratio

Asset Replacement Ratio

Tax Rate

Net Debt-To-Equity Ratio

Interest Cover

Numerator

Cash Flow From Operations

Capex

Tax Charge

Net Debt = Total Debt – Cash & Equivalents

EBIT

Denominator

Net Income

Depreciation

Pre-Tax Income

Total Equity

Interest Expense

Valuation Toolkit

Price / Earnings Ratio

Price / Book Value

Dividend Yield

Free Cash Flow Yield

Enterprise Value / Sales

Numerator

Current Share Price

Current Share Price

Annualised Declared Cash Dividend

Cash Flow From Operations – Total Capex

EV = Current Share Price × Current Shares + Minority Equity + Net Debt +

Other LT Liabilities

Enterprise Value

Denominator

Diluted Earnings Per Share (Basis As Specified)

Shareholders' Equity / Current Basic Shares

Current Share Price

Market Cap = Current Share Price × Current Basic Shares

Sales

Basic EBIT + Depreciation + Amortization

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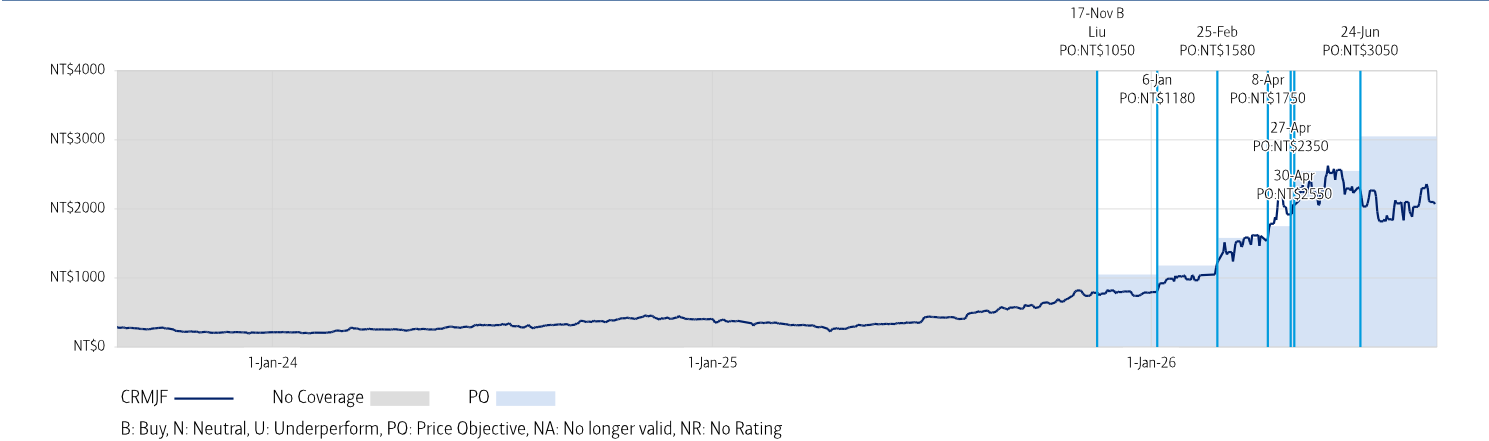
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Chroma ATE (CRMJF) Price Chart



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Equity Investment Rating Distribution: Technology Group (as of 30 Jun 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	243	60.60%	Buy	123	50.62%
Hold	87	21.70%	Hold	45	51.72%
Sell	71	17.71%	Sell	21	29.58%

Equity Investment Rating Distribution: Global Group (as of 30 Jun 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	1987	56.11%	Buy	1190	59.89%
Hold	797	22.51%	Hold	496	62.23%
Sell	757	21.38%	Sell	391	51.65%

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Neutral	≥ 0%	≤ 30%
Underperform	N/A	≥ 20%

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